

"By itself, however, adhesion establishes only a 'low' degree of procedural unconscionability." (*Id.* at p. 907.) Any procedural unconscionability in this case is diminished by paragraph 12, which stated that Plaintiff was not required to sign the agreement to get or keep his job. Where procedural unconscionability is low, Plaintiff must make a correspondingly greater showing of substantive unconscionability. (*Serafin, supra*, 235 Cal.App.4th at p. 185.) Plaintiff makes no cogent argument that the delegation clause itself is substantively unconscionable, nor does the record support such a finding.

Disposition

Defendant's motion to compel arbitration is **GRANTED**. Plaintiff is ordered to arbitrate his claims against Defendant Bonney Services West, LLC. Under the agreement's delegation clause, the arbitrator shall determine whether this action or any part of it is arbitrable.

The Court **STAYS** the entire action pending the conclusion of the arbitration proceeding, except that the Court sets an arbitration status conference on **December 7, 2026 at 9:00 a.m.** in Department 34. The parties shall file joint or separate statements regarding the status of the arbitration proceedings at least ten court days before the conference.

10. 9:00 AM CASE NUMBER: MSC19-02043

CASE NAME: GARAVENTA VS AZARI

***HEARING ON MOTION IN RE: ORDER FOR PAYMENT OF EXPENSES - CONT. FROM 3/30/26 PER E-FILED STIP SIGNED BY JUDGE 3/5/26**

FILED BY: GARAVENTA, SILVIO

TENTATIVE RULING:

Before the Court is the continued hearing on a motion by plaintiff Silvio Garaventa, Jr., for payment of expenses, including attorneys' fees, pursuant to Corporations Code section 2000 after the parties' submission of supplemental papers requested by the Court. For the reasons set forth, the motion is **granted in part and denied in part**, as set forth below.

Procedural Background

On August 13, 2025, after the deadline for the buy-out passed, plaintiff Silvio Garaventa filed his motion for payment of expenses under Corporations Code section 2000(c). In his original motion, Garaventa sought judgment for attorneys' fees and costs of \$184,778.94, including \$148,781.25 in attorneys' fees, \$14,247.69 in costs, and \$21,750 for one-half the amount Pine Hollow paid for the appraisals valuing the corporation. (MPA ISO Mot. p. 13, ll. 10-20.)

Garaventa's motion for payment of expenses under Corporations Code section 2000 was originally set for hearing on January 22, 2026. Azari opposed the motion on a number of grounds. The Court issued a detailed tentative ruling for that hearing, which became the order of the Court as reflected in the Court's January 22, 2026 Minute Order. The Court requested supplemental papers from Garaventa addressing certain specific issues, and the Court provided Azari an opportunity to file a supplemental response.

In the Court's prior ruling, the Court addressed and tentatively resolved a number of the legal and

factual issues in dispute. The Court will re-summarize the applicable law for determination of the motion. The Court will highlight the conclusions reached in the prior ruling and the remaining unresolved issues subject to the supplemental papers before setting forth the Court's final conclusions and determination of the motion.

Garaventa's supplemental papers modify the expense request by reducing the amount sought by \$1,767 for certain services Garaventa concedes are not expenses within the scope of Corporations Code section 2000(c). The Court asked Garaventa to also exclude attorneys' fees related to his motion to appoint a receiver over Pine Hollow which he calculates as \$4,770.75. Totaling those two amounts and deducting them from the \$148,781.25 in the original motion, the modified request for attorneys' fees would be for \$142,243.50.

The Court recognizes Garaventa disputes the Court's prior ruling that the fees associated with the motion to appoint the receiver are not within the scope of Corporations Code section 2000(c). The Court will address that dispute below, as well as Garaventa's dispute of the Court's prior determination that he is not entitled to recover one-half the amount that Pine Hollow paid for the appraisals related to the buyout.

Azari continues to oppose the relief sought as modified in Plaintiff's supplemental papers.

Factual Background

The January 22, 2026 Minute Order includes a lengthy recitation of the case background, which the Court adopts without repeating here.

Law Applicable to the Determination of the Motion

Corporations Code section 2000 in regard to an award of expenses provides:

(b) If the purchasing parties (1) elect to purchase the shares owned by the moving parties, and (2) are unable to agree with the moving parties upon the fair value of those shares, and (3) give bond with sufficient security to pay the estimated reasonable expenses (including attorneys' fees) of the moving parties if those expenses are recoverable under subdivision (c), the court . . . shall stay the winding up and dissolution proceeding and shall proceed to ascertain and fix the fair value of the shares owned by the moving parties.

(c) The court shall appoint three disinterested appraisers The order shall prescribe the time and manner of producing evidence, if evidence is required. The court shall enter a decree, which shall provide in the alternative for winding up and dissolution of the corporation unless payment is made for the shares within the time specified by the decree. If the purchasing parties do not make payment for the shares within the time specified, judgment shall be entered against them and the surety or sureties on the bond for the amount of the expenses (including attorneys' fees) of the moving parties.

(Corp. Code § 2000(b) and (c) [emphasis added].)

There is limited published case law addressing Corporations Code section 2000 and the expenses recoverable after a party makes a buyout election and then fails or refuses to complete the buyout. Both parties cite *Go v. Pacific Health Services, Inc.* (2009) 179 Cal.App.4th 522. The issues presented on appeal in that case were (a) whether the trial court erred in valuing the corporation and undervalued the plaintiff's shares, and (b) whether the trial court's decree erroneously directing the immediate wind up of the corporation if the purchasing defendants failed to complete the buyout within the time deadline set in the decree. (*Id.* at 525-526.) The Court of Appeal affirmed the trial court on both issues, but the published portion of the decision addressed only the propriety of the decree directing the immediate wind up of the entity. In concluding that the decree for the immediate wind up was appropriate, the Court explained that Corporations Code section 2000 if invoked begins a special proceeding that supplants the cause of action for involuntary dissolution under Corporations Code section 1800. (*Id.* at 530.)

In affirming the trial court's decree, the Court described the process under Corporations Code section 2000(c), quoting from *Trahan v. Trahan* (2002) 99 Cal.App.4th 62, in which the Court explained that if the purchasing parties chose not to purchase the shares and permit the dissolution of the corporation to proceed, then the purchasing parties "only liability would be to pay the expenses (including attorneys' fees) incurred by the moving parties in the appraisal process. [Citation omitted.]" (*Trahan, supra*, 99 Cal.App.4th at 75, quoted at *Go, supra*, 179 Cal.App.4th at 531.) The Court in *Go* later reiterated this interpretation of the expense liability imposed by Corporations Code section 2000(c) in rejecting the defendants' position that they should have been allowed to contest the involuntary dissolution of the corporation under Corporations Code section 1800 after they invoked the buy-out election procedure and then decided not to buy the shares. (*Id.* at 531-532 ["If [dissolution] were not the inevitable outcome, then all majority shareholders facing an action for involuntary dissolution would invoke section 2000 if only for the purpose of delay, with nothing to lose other than the expense of the appraisal and attorneys' fees, knowing they could eventually litigate the action for involuntary dissolution on its merits." (Emphasis added.)].)

With regard to the standards for the Court awarding attorneys' fees and costs, the Court in *Christian Research Institute v. Alnor* (2008) 165 Cal.App.4th 1315 explained that courts assess attorneys' fees generally under a "lodestar" figure based on a compilation of the time spent by counsel multiplied by the reasonable hourly compensation for each attorney who rendered services. (*Id.* at 1321 ["The court tabulates the attorney fee touchstone, or lodestar, by multiplying the number of hours reasonably expended by the reasonable hourly rate prevailing in the community for similar work. [Citations omitted.]"].) "[A]scertaining the fee amount is left to the trial court's sound discretion. [Citations omitted.] Trial judges are entrusted with this discretionary determination because they are in the best position to assess the value of the professional services rendered in their courts. [Citations omitted.]" (*Id.*)

Christian Research Institute does not preclude block billing or require denial of attorneys' fees solely because the fee records contain block billing. It is a factor the Court considers in the Court finding the services are compensable. (*Christian Research Institute, supra*, 165 Cal.App.4th at 1325.) (See also *Bell v. Vista Unified School District* (2000) 82 Cal.App.4th 672, 689.)

Analysis

A. Summary of the State of the Record on the Motion

The motion is supported by the Bowles Declaration which attaches billing summaries as Exhibit A and a summary of expenses as Exhibit B. As to one component of the lodestar calculation, the billing rates charged by the attorneys performing services, the Bowles Declaration provides the hourly rates of three attorneys, Bowles (\$425), Ms. Tomp (\$285), and Cheryl Noll beginning in October 2022 (\$385). Bowles explains why the rates are reasonable given (a) the nature of the services rendered and the issues involved, (b) the experience of the attorneys rendering the services, and (c) the fact that the rates were those in effect when the attorneys began work on the case and have not been increased since then. (Bowles Decl. ¶¶ 25-28.) Garaventa has also filed a supplemental Bowles Declaration and a supplemental reply addressing issues on which the Court requested supplemental papers.

Azari filed a memorandum opposing the motion and filed a supplemental opposition as authorized by the Court. Azari does not dispute that the rates charged by Plaintiff's counsel are reasonable. Azari also does not contend that the time actually expended by the professionals representing Garaventa was excessive for any of the tasks performed. Azari contests the fees requested as he contends they exceed the scope of services compensable under Corporations Code section 2000(c), are not related to the appraisal of Pine Hollow, or are not sufficiently described and supported as related to the Pine Hollow appraisal for the Corporations Code section 2000 buyout.

B. Prior Determinations from the January 22, 2026 Minute Order Adopted and Reaffirmed in This Ruling

The Court reiterates and adopts certain prior rulings made in the January 22, 2026 Minute Order. First, the Court will not revisit its prior ruling on Azari's right to withdraw his Corporations Code section 2000(a) buyout election, a right the Court rejected in an earlier ruling. The Court previously found that the special proceeding of Corporations Code section 2000 supplanted Garaventa's involuntary judicial dissolution cause of action under Corporations Code section 1800. (*Go, supra*, 179 Cal.App.4th at 531-532; *Ontiveros v. Constable* (2018) 27 Cal.App.5th 259, 267.) Azari's attempt to withdraw from his election under Corporations Code section 2000(a) provides no basis for the Court to deny the statutorily mandated payment of Plaintiff's expenses, including attorneys' fees, under Corporations Code section 2000(c).

For the reasons explained at length in the January 22, 2026 Minute Order, the Court reiterates its ruling rejecting Azari's position that the only tasks that are properly charged or compensable "would be gathering and transmitting documents to the appraiser and reviewing appraisals – not motion practice, letters to the Court, or other court filings." (Opp. p. 10, ll. 12-15.) For the reasons previously stated, the expenses to which Garaventa is entitled under Corporations Code section 2000(c) are not limited to those related to obtaining the three appraisals, and attorneys' fees and expenses incurred after May 2, 2025, the date of the Section 2000 Decree, are recoverable to the extent related to Azari's determination as to whether to complete the buyout and the consequences of his decision that resulted in the dissolution of Pine Hollow. The fees subject to the motion end with time entries on June 25, 2025.

Based on the Bowles Supplemental Declaration, Garaventa concedes that \$1,767 in fees pertain to

services that do not relate to the special proceeding for the appraisal of Pine Hollow. Garaventa has reduced his request for expenses by that amount as set forth above.

The Court adopts and reiterates its position on Azari's complaint about "block billing" entries. For the reasons explained at length, the Court does not find that so-called block billing, based on the entries in Exhibit A to the original Bowles Declaration, prevents the Court from making an assessment of the services rendered, the attorneys' fees incurred, and above all, the reasonableness of the expenses for purposes of making the award under Corporations Code section 2000(c).

The Court also reiterates and adopts its prior ruling made in the January 22, 2026 Minute Order that Garaventa is not entitled to an award of 50% of the cost of the appraisals which Pine Hollow itself obtained and paid for, a point Garaventa does not contest. Garaventa submits no evidence indicating that he personally paid for any portion of the three appraisals obtained as part of the buyout, whether directly or through his counsel. Garaventa, as the "moving parties" under Corporations Code section 2000, did not expend those fees. Award of the appraisal costs incurred by the entity, not by Garaventa, is not consistent with the language of Corporations Code section 2000.

C. Matters Subject to Supplemental Briefing

Garaventa was asked to provide supplemental papers on certain issues. Garaventa has provided adequate supplemental evidence and briefing as the Court requested. Specifically, Exhibit A to the Bowles Supplemental Declaration provides a year by year summary of time spent by the time keepers who worked on this matter with their applicable billing rate and the dollar value of fees incurred for their services. The supplemental evidence adequately explains an apparent discrepancy in the billing rates for Ms. Tomp. The Court finds the summary helpful and sufficient to demonstrate that the hours spent and billing rates charged for the services rendered were reasonable and appropriate, to the extent the fees and services were incurred for services within the scope of expenses recoverable under Corporations Code section 2000(c). (*Christian Research Institute, supra*, 165 Cal.App.4th at 1321.)

As to the costs requested as part of the expenses, Exhibit B to the Supplemental Bowles Declaration provides an explanation of each of the components of costs comprising the total of approximately \$14,000 sought in the motion. The Court finds Exhibit B adequately responds to the Court's concerns in the prior ruling regarding the expense categories.

Azari's supplemental opposition contests language used in the Court's January 22, 2026 Minute order regarding the standard for awarding expenses under Corporations Code section 2000. (Suppl. Opp. p. 3, fn. 2.) Corporations Code section 2000 governing the award of expenses provides that "the court . . . shall proceed to ascertain and fix the fair value of the shares owned by the moving parties," and if the party who made the Corporations Code section 2000 election fails to purchase the shares based on the fair value ascertained by the Court, then "judgment shall be entered against them and the surety or sureties on the bond for the amount of the expenses (including attorneys' fees) of the moving parties." (Corp. Code §§ 2000(b) and (c) [emphasis added].)

Azari contests the Court's use of the words "reasonably related" to the appraisal process. Azari contends that the Court cannot award expenses "reasonably related" to the appraisal process but rather must award fees and costs "actually 'incurred by the moving parties in the appraisal process,' "

citing *Go, supra*, 179 Cal.App.4th at 531. (Suppl. Opp. p. 3, fn. 2.) The full statement from the January 22, 2026 Minute using that language was:

As the background summary above sets forth, the Court held a number of hearings regarding the status and timing of the Pine Hollow appraisal process, whether the action should be stayed based on the bearing the AGL arbitration might have on the Pine Hollow valuation, whether the Corporations Code section 2000 special proceeding to value Pine Hollow should be bifurcated from Plaintiff's other claims and causes of action related to Pine Hollow, whether Azari could withdraw his Corporations Code section 2000 buyout election, and what appraisal should be adopted as the valuation of Pine Hollow. The Court considers services involving or related to those activities to be reasonably related to the special proceeding for the appraisal of Pine Hollow and compensable under Corporations Code section 2000(c).

(1/22/2026 Min. Order.)

For the avoidance of any doubt in this ruling, the Court finds that the attorneys' fees and expenses incurred for the services summarized in the January 22, 2026 Minute Order, as set forth above, were incurred by [Garaventa as the moving party] in the appraisal process. (Corp. Code §§ 2000(b) and (c); *Go, supra*, 179 Cal.App.4th at 531.)

1. Fees Related to Discovery

Garaventa was asked to file a supplemental declaration explaining why discovery included in Exhibit A to the original Bowles Declaration was properly considered related to the appraisal and buyout under Corporations Code section 2000(c). The supplemental reply and Supplemental Bowles Declaration provide support and an explanation for the relationship between the discovery and the appraisal and buyout election, though the supplemental papers concede that the written discovery covered by these services also addressed AGL, which is outside the scope of recoverable expenses under Corporations Code section 2000.

In his supplemental opposition, Azari also contends that the appraisal process "does not necessitate or even justify party discovery." (Opp. p. 3, l. 23 – p. 4, l. 1.) The record does not support Azari's position. The order appointing the three appraisers filed August 18, 2020 expressly contemplated that the parties may have relevant information to provide to the appraisers as part of the appraisal process. (8/18/2020 Order ¶¶ 3 ["The parties shall provide any and all information they deem relevant to the appraisers, with the information being provided in writing and made available to the other party as well."], 5, 6 [directing appraisers to determine the fair value based on liquidation "taking into account the possibility, if any, of the sale of the entire business as a going concern in a liquidation"].)

The record reflects that Pine Hollow was an operating business entity which owned and operated a service station, mini-mart, and car wash on land owned by the related entity AGL Enterprises. (5/2/2025 OAH, p. 3.) As an operating business entity, its financial statements, including balance

sheets, income and expense or profit and loss statements, and the nature, basis, and propriety of the line item components included in the financials, were clearly pertinent to the appraisers' valuations. (5/2/2025 OAH pp. 4-5 [addressing appraisers' adjustments to management fee amounts, cash reserve on balance sheet, certain liabilities to third parties, and the "deferred settlement" category].) In addition, in addressing Garaventa's claim that at least a portion of the discovery was specifically part of the appraisal process and therefore recoverable, the Court focuses in particular on paragraphs 6 and 7 of the Supplemental Bowles Declaration. (See *also* Suppl. Bowles Decl. ¶¶ 8-12 [further explaining the discovery expenses].) Those paragraphs explain in some detail the nature of the discovery Garaventa propounded and why it was necessary to the appraisal process for the Pine Hollow entity.

Based on the Supplemental Bowles Declaration (Suppl. Bowles Decl. ¶¶ 6-12), the Court finds it appropriate to allocate 50% of the fees related to discovery requested in the motion to AGL, such that they are outside the scope of an award of expenses under Corporations Code section 2000, and the motion is **denied** as to Garaventa's request for attorneys' fees related to discovery in the amount equal to 50% of the attorneys' fees included in the motion related to discovery. However, the Court finds Garaventa has sufficiently justified the need for discovery to provide information to the appraisers for the valuation of Pine Hollow. The Court finds that allocating 50% of the discovery-related attorneys' fees to discovery of information for the valuation of Pine Hollow is appropriate as reflecting expenses of Garaventa incurred for the process of "ascertain[ing] and fix[ing] the fair value of the shares owned by" Garaventa in Pine Hollow. (Corp. Code §§ 2000(b) and (c).)

2. Fees Related to Plaintiff's Motion to Appoint Receiver Over Pine Hollow

Garaventa complied with the Court's request to separately state the amount of fees included in the motion related to Garaventa's motion for appointment of a receiver made in the early months of the case. Plaintiff has explained those fees total \$4,770.75. (Suppl. Bowles Decl. ¶¶ 4, 5.) The Court understands Garaventa's argument for why he believes those fees are within the scope of expenses related to the appraisal and buyout of Pine Hollow, but the Court concludes they are not properly encompassed within the award of expenses under Corporations Code section 2000(c). The request for those fees is **denied**.

3. Mischaracterization of Exhibit A as Statement of "All Hours and Fees Incurred in the Entire Matter"

Azari argues (again) that Exhibit A to the Bowles Declaration covers all hours and fees incurred for the Bowles' firm's services for the entire case. (Suppl. Opp. p. 4, ll. 22-24.) This argument was raised in Azari's initial opposition to the motion, and the Court rejected his position. (1/22/2026 Min. Order PDF p. 6 ["Azari argues Garaventa is seeking to recover "all expenses incurred in the action" with limited exception for the "excluded categories" described in the motion and the Bowles Declaration. (Opp. p. 11; Bowles Decl. ¶ 24.) Bowles declares that Garaventa has incurred over \$470,000 in attorneys' fees in the case and over \$85,000 in costs (Exh. B shows over \$83,000 in expenses through June 2025). (Bowles Decl. ¶ 24.) The expenses requested in the motion are considerably less than the total incurred, less than one-third of the total." (Emphasis added.)].) The Court rejects that argument in the supplemental opposition and will not revisit the Court's prior determination in that regard

made in the January 22, 2026 Minute Order.

4. Azari's Challenges to the Costs Request

Azari raises various challenges to the costs requested by Garaventa totaling \$14,247.69 covering the five and a half year period roughly from November 1, 2019 through the end of June 2025. The Court has reviewed the Supplemental Exhibit B attached to the Supplemental Bowles Declaration, and the Court has considered the Bowles Supplemental Declaration regarding the expenses included. (Bowles Suppl. Decl. ¶¶ 23-25.) Having considered these materials and the objections by Azari in his supplemental opposition, including that certain costs appear to be specifically related to the motion for appointment of a receiver which the Court has found is not part of the appraisal process, **the Court grants costs requested less \$984.55, for net costs awarded of \$13,263.14.** The Court excludes from the costs awarded the following: 3/30/2023 bridge toll/parking \$9.00, 7/17/2023 color printing \$23.00, 7/17/2023 filing fee \$16.55, 2/4/2020 jury fees \$150.00, 11/5/2019 Natalie Moore mileage \$15.00, 11/7/2019 Bowles mileage \$12.00, 11/5/2019 bridge toll/parking \$1.00, 11/7/2019 bridge toll/parking \$2.00, 11/7/2019 court reporter fees \$745.00, and 11/6/2019 fax to Judge Austin \$1.00 totaling **\$984.55.**

Conclusion and Final Award

Garaventa's motion for expenses under Corporations Code section 2000(c) is **granted in part.** Garaventa's motion for payment of expenses is granted as follows: (a) attorneys' fees of **\$142,243.50, minus 50% of the fees related to discovery** included in Exhibit A to the original Bowles Declaration, in an amount to be determined by a second supplemental Bowles declaration to accompany the proposed order, and (b) costs in the amount of **\$13,263.14.** The motion is **denied to the extent** it seeks payment of \$21,750 representing 50% of the cost of the appraisals obtained and paid for by Pine Hollow and as to the other 50% of fees incurred for discovery. The \$142,243.50 is the net amount from the amount requested in the motion of \$148,781.25 less the disallowed amount of \$4,770.75 for fees related to the receiver motion. The \$13,263.14 in costs awarded represent the \$14,267.69 requested less the \$984.55 disallowed as not incurred as part of the appraisal process.

Bowles shall lodge a proposed judgment awarding expenses under Corporations Code section 2000(c). With the proposed judgment, Bowles shall file a second supplemental declaration stating (1) the total fees included in Exhibit A for discovery-related services, (2) the amount that represents 50% of the total discovery-related fees, and (3) the calculation of the net award amount after deduction of the amounts disallowed by the Court for discovery from the \$142,243.50 above.

11. 9:00 AM CASE NUMBER: MSC21-02074

CASE NAME: BANERJEE VS. SEECUBIC INC

*HEARING ON MOTION IN RE: SET ASIDE DEFAULT JUDGMENT FILED 6/3/25

FILED BY: SEECUBIC, INC.

TENTATIVE RULING:

Before the Court is Defendants Seecubic, Inc. and Shad Stastney's Motion to Set Aside Default Judgment Filed on June 3, 2025.